

The Battery Market in India

The government has started encouraging green environment policies as it is now the need of the country. If these policies get implemented, people will need to switch from sealed lead-acid batteries to Li-ion batteries; currently sealed lead-acid batteries account for 90 per cent of the market



UMA GUPTA

The overall battery market in India is worth more than ₹ 250 billion. It has been growing by at least 20 per cent year-on-year for the last few years. But the overall organised battery market is estimated at approximately ₹ 120 billion only. Here we review the Indian battery market by dividing it into two broad categories application-wise: batteries for industrial applications and dry-cell batteries.

BATTERIES FOR INDUSTRIAL APPLICATIONS

Batteries find multiple usage in different industrial segments.

Sunil Bhatnagar, director-marketing, Artheon Electronics, shares, "Application-wise, the demand is mainly coming from electric vehicle, telecom and solar

segments. The demand from solar segment is getting stronger as very high targets are set in the Jawaharlal Nehru National Solar Mission. The growing demand for solar lanterns (CFL and LED based) is driving the demand of batteries in this segment. Telecom segment has come out of a period of lull after two-three years and is forecast to see a good demand this year."

According to Bhatnagar, in electric vehicle segment, the battery demand is growing for four-wheelers but the two-wheeler segment has slowed down due to withdrawal of incentives by the government, though the battery replacement requirement for old electric vehicles is still good.

"UPS segment is addressed by valve-regulated lead-acid (VRLA) and tubular batteries. Solar segment largely uses tubular batteries, except for solar-based LED and CFL lighting systems

that use small VRLA batteries like 6V, 4.5Ah and 12V, 7Ah. Indian manufacturers are addressing these markets adequately," says Biju Bruno, managing director, Greenvision Technologies.

"Indian manufacturers are getting ready for upcoming high demand for batteries. The demand would increase at a very fast pace as China is now not very competitive in battery pricing. Strengthening of dollar has made things worse for Indian battery importers," informs Bhatnagar.

SMF VRLA ruling the market

In year 2012, the Indian market for SLA batteries was worth around ₹ 220 billion. Of this market, automotive segment accounted for 60 per cent (₹ 132 billion), UPS and inverters 20 per cent (₹ 44 billion), telecom 15 per cent (₹ 33 billion) and other segments including solar power, e-bikes, bio-gas and wind power 5 per cent (₹ 11 billion). Exide, Amara Raja, Rocket, HBL, C&D, Panasonic and Leoch accounted for a major chunk of the market.

"Sealed maintenance-free (SMF) VRLA batteries are ideal if one is looking for 'fit and forget' type of batteries. These batteries are extremely good for solar lanterns, telecom, IT and ITES, security and automation applications. The technology is proven and best suited for a host of applications. New technologies like fuel cells and ultracapacitors are also emerging but these have their own limitations and are yet to prove themselves," says Bhatnagar.

Hiren Pravin Shah, general manager, Panasonic India, Industrial Device Division, informs, "Currently, SMF VRLA batteries are being used in all major storage and backup applications like automotive, UPS and inverters. That's because